



**DIRECTIVE**  
**FINANCIAL SERVICES BOARD**  
**REPUBLIC OF SOUTH AFRICA**

**LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)**  
**SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)**

|                   |                                                   |                       |                  |                       |                        |
|-------------------|---------------------------------------------------|-----------------------|------------------|-----------------------|------------------------|
| <b>Addressee:</b> | Long-term & short-term insurers                   |                       | <b>File:</b>     | 10/17/1 & 10/7/1/14/B |                        |
| <b>Edition</b>    | <b>Issue date</b>                                 | <b>Effective date</b> | <b>Directive</b> | <b>Status</b>         | <b>Withdrawal date</b> |
| 1 <sup>st</sup>   | 30 January 2004                                   | 01 February 2004      | 106.A.i (LT&ST)  | In force              | -                      |
| 2 <sup>nd</sup>   | -                                                 | -                     | -                | -                     | -                      |
| 3 <sup>rd</sup>   | -                                                 | -                     | -                | -                     | -                      |
| <b>Subject:</b>   | Increase of a percentage of the investment limits |                       |                  |                       |                        |

**1. Introduction**

In terms of section 31(1)(c) of the Long-term Insurance Act or section 32(2) or paragraph 6(3) of Schedule 3, in respect of the funds of the Lloyd's South African Trust, of the Short-term Insurance Act an insurer or the Lloyd's Representative may apply for approval of an increase of a percentage of the investment limits specified by regulation.

**2. Requirement**

Insurers shall continuously remain within the prescribed investment limits but may approach the Registrar for an increase of a percentage specified by regulation where insurers -

- 2.1 can demonstrate that exceeding the limits is prudent in the circumstances pertaining to a particular insurer;
- 2.2 initially or in restructuring an investment portfolio, experience temporary difficulties in complying with the prescribed investment limits; or
- 2.3 as a result of extraordinary fluctuations in market values experience difficulties in complying with the prescribed investment limits.

## **Directive 106.A.i - Increase of a percentage of the investment limits**

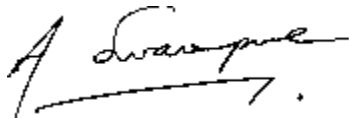
In the case of paragraphs 2.1 and 2.2 insurers should apply to the Registrar on the required form for an increase of a percentage of the investment limits, furnishing full reasons why compliance with the limits is not possible or not in the interest of an insurer and to what specific extent an increase of a percentage is needed. In the case of paragraph 2.3 insurers should either take the necessary action to rectify the position as soon as possible or immediately apply to the Registrar on the required form for an increase of a percentage. The form is available on the website ([www.fsb.co.za](http://www.fsb.co.za)) of the Financial Services Board (FSB).

### **3. Observance**

The provisions of the Financial Institutions (Protection of Funds) Act, 2001 (Act 28 of 2001) must be borne in mind, and in particular sections 2 and 3 thereof. It is imperative that an insurer shall at all times observe the high standards of integrity, care, diligence, impartiality and independence prescribed by the aforementioned Act and ensure that the same high standards are maintained by the officials, agents and advisers of the insurer so as to ensure that all transactions (investments and disinvestments) concluded on behalf of the insurer are negotiated at arm's length and that no person gains any improper advantage at the expense of the insurer.

### **4. Information sharing**

This directive is available on the website ([www.fsb.co.za](http://www.fsb.co.za)) of the FSB. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



**pp REGISTRARS OF LONG-TERM AND SHORT-TERM INSURANCE**